

TAXATION OF SPECIALISED COMPANIES

Introduction

The provisions of Sections 14 – 17 of CITA, cover the taxation of the profits of specialised businesses.

The specialised businesses covered by these provisions are:

- (a) Foreign companies engaged in air and sea transport business - Section 14 of CITA;
- (b) Foreign companies engaged in cable undertakings – section 15 of CITA;
- (c) Foreign companies engaged in insurance business (life and non-life) - Section 16 of CITA;
- (d) Nigerian companies engaged in insurance business (life and non-life) -Section 16 of CITA; and
- (e) Companies engaged in authorised unit trust schemes - Section 17 of CITA.

Taxation of foreign air and sea transport companies

Foreign companies engaged in air or sea transport businesses are assessable to tax in Nigeria, in respect of their income, derived from the loading of passengers, mails, livestock or goods into an aircraft or a ship in Nigeria. Income from leasing, containers, non-freight operations or any other incidental income liable to tax under section 9 of CITA.

Incomes exempted are those in respect of passengers, mails, livestock or goods which are:

- (a) Loaded on routes outside Nigeria, but terminating in Nigeria; and
- (b) In transit in Nigeria, that is, brought to Nigeria for trans- shipment or connecting flight.

Computation and assessment of profit liable to tax

The determination of profit or loss derived by a foreign company in respect of loading of passengers, mails, livestock or goods into an aircraft or a ship in Nigeria is based on the rules explained below otherwise, the FIRS shall compute on a fair percentage on the full sum receivable in respect of the carriage of passengers, mails, livestock and goods shipped or loaded in Nigeria.

Adjusted profit/depreciation ratio basis

This basis (herewith considered as method 1) is adopted where the Federal Inland Revenue Service is satisfied that the tax authority of the foreign company's country of origin:

- (a) Computes and assesses a company which operates ship or aircraft on a basis not materially different from that prescribed by CITA, and
- (b) Certifies as being applicable to a company in the air or sea transport business,

(i) Adjusted profit ratio (%) = $\frac{\text{Adjusted profit}}{\text{Worldwide income}} \times 100\%$

Worldwide income

(ii) Depreciation ratio (%) = $\frac{\text{Depreciation allowance}}{\text{Worldwide income}} \times 100\%$

Worldwide income

In order to determine the assessable profit, capital allowances and consequently the total profits chargeable to tax in Nigeria, the Federal Inland Revenue Service applies the above ratios against the income derived by the foreign company from the loading of passengers, mails, livestock and goods into an aircraft or a ship in Nigeria.

The above can be explained by way of a pro-forma thus:

Assessable profit = Income receivable in Nigeria x profit ratio (%)	xxx
Less: Capital allowance = Income receivable in Nigeria x depreciation ratio (%)	x
Total profit	xx
Income tax payable (xx at the appropriate tax rate)	x

Illustration

The statement of profit or loss of a foreign Airline, Ethiopian Airways Limited, for year ended March 31, 2013, is as follows:

	₦'000	₦'000
Income from passengers freight into Nigeria		300,000
Income from goods loaded into aircraft in Nigeria		220,000
Income from passengers loaded and flown out of Nigeria		180,000
Income from goods loaded into aircraft on other routes		<u>500,000</u>
		1,200,000
Less: Salaries and other expenses	800,000	
Depreciation	120,000	
Other disallowable expenses	<u>40,000</u>	(960,000)
Net profit for the year		240,000

You are given the following additional information:

(i) The Federal Inland Revenue Service is satisfied that the tax authority in Ethiopia computes and assesses tax on similar basis with Nigeria and has received certification of the appropriate ratios.

(ii) The tax authority has agreed that depreciation charged in the accounts can be granted in lieu of capital allowances.

(iii) Salaries and other expenses include:

- Deposit for a new V.C 10 aircraft ₦80,000;
- Payment of ₦24,000 to Nigeria Airport Authority for the use of the V.I.P. lounge at the new Murtala Mohammed Airport by the Airline's first class passengers; and
- Payment of ₦12,000 as rent for accommodation used as transit flat by the airline's crew.

Required: Compute the:

- (a) Total profit for Nigerian tax purposes, and
- (b) Income tax payable by the airline for assessment year 2014.

Suggested solution

Ethiopian Airways Limited

(a) Computation of total profit for Nigerian tax purposes Assessment year 2014

	N'000
Assessable profit – N 400,000 x 40% (w2)	160,000
Capital allowances	(120,000)
Total profit liable to tax in Nigeria	40,000

(b) Computation of income tax payable for 2014 assessment year

Total profit (~~N~~40,000,000 at 30%) = ~~N~~12,000,000

Workings: (i) Computation of adjusted profit Year ended March 31, 2013

	N'000
Net profit per accounts	240,000
Add: Depreciation	120,000
Other disallowable expenses	40,000
Deposit for V.C. 10 aircraft – capital	80,000
Adjusted Profit	480,000

(ii) Computation of adjusted profit ratio

Adjusted profit x 100% = ~~N~~480,000,000 x 100
Worldwide, income N1,200,000,000 = 40%

(ii) Computation of depreciation allowance ratio Since FIRS agreed with the company that the depreciation charged should be adopted as capital allowance, there will be no need to compute

depreciation ratio, rather, capital allowance shall be the amount of depreciation in the question, that is, N120,000.

Method 2 This method is only used where the Federal Inland Revenue Service is not satisfied as to the conditions listed under Method 1.

Under this method, the FIRS is given the discretionary power, to determine the profits derived from Nigeria, by applying a fair percentage on the full sum receivable in respect of carriage of passengers, mails, livestock and goods shipped or loaded in Nigeria.

Put in a proforma, the assessable profits of a foreign company in respect of income derived from Nigeria is as shown below:

	₦
Income receivable in Nigeria	xxx
Assessable profits: Income receivable in Nigeria x fair % (as determined by FIRS) xx	

Other points to note

(a) Where method 2 above is used, the foreign company shall be entitled to require that its assessment revised and re-computed on the basis of method 1.

(b) The request in (a) above will be valid only if made by the company within six (6) years after the end of the relevant assessment year to which it relates and on production from its home country's tax authority, of appropriate certificate to the satisfaction of the revenue.

(c) In any case, the minimum tax payable by a company engaged in air or sea transport business shall not be less than two percent (2%) of the full sum receivable in respect of carriage of passengers, mails, livestock or goods shipped or loaded into an aircraft in Nigeria. The full sum receivable should however exclude taxes such as VAT and other levies such as airport or passenger tax, which are collected by the airline on behalf of others.

Minimum tax

As stated above, minimum tax should not be less than 2% of the full sums receivable in respect of the carriage of passengers, mails, livestock or goods shipped or loaded into an aircraft in Nigeria.

Taxation of foreign company engaged in cable undertakings (telecommunication)

Where a foreign company is engaged in the business of transmission of messages by cable or any other form of wireless apparatus, it is assessable to tax in the same way as a foreign company engaged in air or sea transport business.

Its profits, which are deemed to be derived from Nigeria, are from the transmission of messages through its network in Nigeria to places outside the country (Nigeria). Such cable messages originating

from Nigeria are deemed equivalent to the shipping or loading of passengers, mails, livestock or goods in Nigeria.

Apart from the above, all the other provisions relating to the taxation of companies engaged in air or sea transport companies apply exactly in the same way as to companies engaged in cable undertakings.

Illustration 2 Ultimate Limited is a Canadian foreign company engaged in cable undertakings in Nigeria. Its worldwide management accounts for the year ended September 30, 2012, revealed the following:

	₦'000	₦'000
Income from cable messages terminating in Nigeria		200,000
Income from cable messages routed through Nigeria		150,000
Income from cable messages originating in Nigeria		100,000
		450,000
Less:		
Salaries and wages	180,000	
Depreciation	90,000	
Overhead expenses	85,000	
Purchase of equipment	39,000	
		394,000
Net profit		56,000

Notes:

- (i) Federal Inland Revenue Service is satisfied that tax is computed and assessed in Canada, the country of the foreign company, on the same basis as Nigeria;
- (ii) Canadian tax authority has certified the adjusted profit and Depreciation allowance ratios
- (iii) Included in overhead expenses are disallowable items totaling N23million.

Required: (a) Compute the company's adjusted profit (b) Determine the adjusted profit ratio and depreciation ratio (c) Compute the total profits and Income tax payable in Nigeria

Suggested solution 2

Ultimate Limited

(a) Computation of adjusted profit

	₦'000	₦'000
Net profit per accounts		56,000
Add: Depreciation	90,000	
Purchase of capital equipment	39,000	
Other disallowable expenses	23,000	152,000
Adjusted profit		208,000

(b) Computation of adjusted profit and depreciation ratios

(i) Computation of adjusted profit ratio: $\frac{\text{₦}208,000,000}{\text{₦}450,000,000} \times 100\% = 46.22\%$

₦450,000,000

(ii) Computation of depreciation ratio:

$\frac{\text{₦}90,000,000}{\text{₦}450,000,000} \times 100\% = 20\%$

₦450,000,000

(c) Computation of income tax payable in Nigeria

Assessable profit	(₦100m x 46.22%)	46,220
Deduct: Capital allowances (₦100m x 20%)		20,000
Total profit		26,220
Income tax payable ₦26,220,000 at 30%		7,886